

INCLUSIVE INEQUA

India is expected to notch 9-plus per cent growth for the third successive year. But a large section is not on the gravy train. This economic reality is the political challenge of the day.

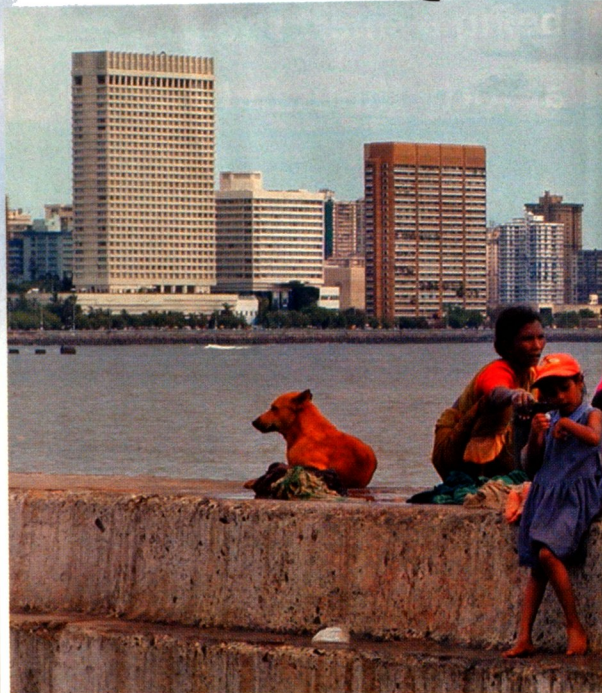
■ By Shankkar Aiyar

Money is nothing; character, conduct, and capacity are everything, so said George Bernard Shaw in the 1900s. Presumably, he could afford to be profound. But in a sub-prime life where hunger and illness stalk you like day and night there is little room for profound words. For a large section of Indians, it is an economic reality. They can, at best, find consolation from this profound observation.

For the numbers are shocking. At 301 million, a fourth of the population (of 1,111 million) is living off less than a dollar a day, below the low tide of poverty otherwise jargonised as BPL. Within South Asia, India has 77 per cent of the poor. For those driving the latest sedans powered by multi-point fuel injection engines through neon-studded streets, that is less than the price of a cuppa at the Gen-Next coffee shop. Contrast this with another nugget. India is also home to 36 dollar-billionaires. At the height of the stock market boom, the wealth of just five individuals in the country exceeded \$100 billion or 10 per cent of the GDP.

You could argue that much of this is anecdotal evidence and that poverty has come down in the post-liberalisation era. Indeed, there is clear evidence of a trickle-down effect. Poverty level has dropped by 8.38 per cent, from 35 per cent to 27 per cent, in the 10-year period between 1993-94 and 2004-05.

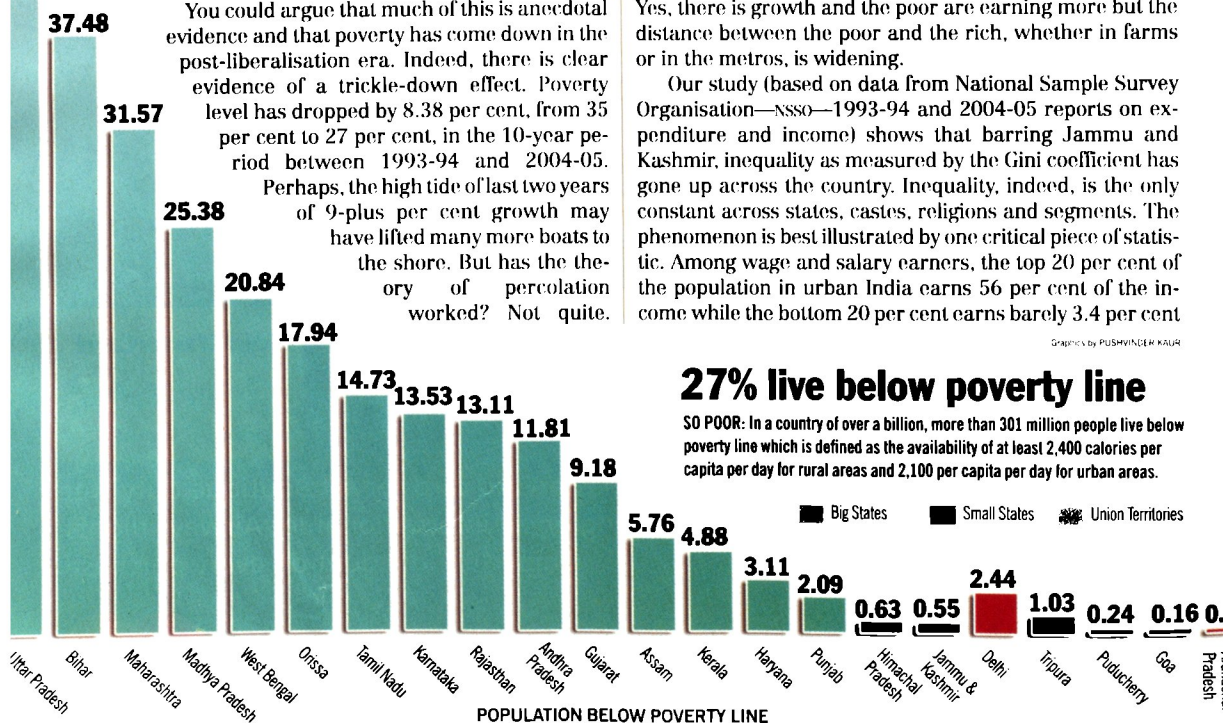
Perhaps, the high tide of last two years of 9-plus per cent growth may have lifted many more boats to the shore. But has the theory of percolation worked? Not quite.



Yes, there is growth and the poor are earning more but the distance between the poor and the rich, whether in farms or in the metros, is widening.

Our study (based on data from National Sample Survey Organisation—NSSO—1993-94 and 2004-05 reports on expenditure and income) shows that barring Jammu and Kashmir, inequality as measured by the Gini coefficient has gone up across the country. Inequality, indeed, is the only constant across states, castes, religions and segments. The phenomenon is best illustrated by one critical piece of statistic. Among wage and salary earners, the top 20 per cent of the population in urban India earns 56 per cent of the income while the bottom 20 per cent earns barely 3.4 per cent

GRAPHICS BY PUSHPINDER KALUR



27% live below poverty line

SO POOR: In a country of over a billion, more than 301 million people live below poverty line which is defined as the availability of at least 2,400 calories per capita per day for rural areas and 2,100 per capita per day for urban areas.

■ Big States ■ Small States ■ Union Territories